

IMPLICATIONS

Perhaps the most revealing aspect of the inflation-adjusted Dow is what it says about the *economic* and *social* health of the United States. The final year of rise into the orthodox top of wave V was the twelve months ending in February 1966. It was the 1965-1966 session of Congress that passed most of President Lyndon Johnson's "Great Society" programs, the biggest peacetime expansion of government giveaways in the history of the country. The belief that the country could afford such largesse even as it fought a war was a reflection of how boundlessly wealthy and optimistic voters felt. That collective feeling marked the peak in U.S. prosperity. We have not felt that way since.

Now let's examine the support line shown in Figures 3-1 and 3-3. For *182 years*, from 1784 to 1966, the U.S. stock market rose at a rate that allowed prices to rebound from that uptrend line, despite all the social and political difficulties encountered along the way, as listed in the quotation from 1982 near the start of this chapter. In 1979, 195 years after its starting point, *that line broke*. In other words, the U.S. stock market has been discounting problems that have more ominous implications than any other event in the country's history. What are they?

In my opinion, the market's first long term concern is financial. Note in Figure 3-1 that the all-time high for the annual price averages occurred in 1965. It is unlikely to have been merely coincidence that that was the year that the U.S. government stopped making coins from silver. The divorce of the U.S. dollar from its precious metal anchor meant that our "money" no longer had any intrinsic value. This one fact has had immense consequences. From that point forward, inflation edged upward, finally raging. When it slowed in the early 1980s, *borrowing*, as a natural consequence of an inflation-induced psychology, exploded to reach today's ominous levels (see Chapter 14).

Today's market patterns say that this debt buildup is about to resolve into a debt liquidation that will wreak havoc on the nation. "C" waves always expose at long last the weaknesses in the market's foundation, many of which are set in place at the pattern's outset but remain substantially hidden during wave B. Besides the financial implications, which are the main focus of this book, the market's second concern ultimately will be social upheaval, which always accompanies "C" waves of this degree. Social psychology at the bottom will be the opposite of what it was at the top, and this change will